

KICKING UP A STORM

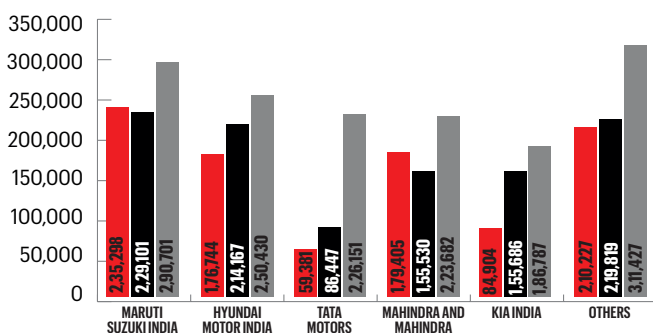
Kia plans to stick to SUVs and MPVs for now

Model (Year of Introduction)	Sales (FY21)	Sales (FY22)
SUV/Crossover	Seltos (2019)	89,173
	Sonnet (2020)	63,717
MPV	Carens (2022)	N/A
	Carnival (2020)	2,796

SOURCE FEDERATION OF AUTOMOBILE DEALERS ASSOCIATIONS (FADA)

COMPETITION IS RISING

Kia has been pushed down to No. 5 in SUVs in FY22

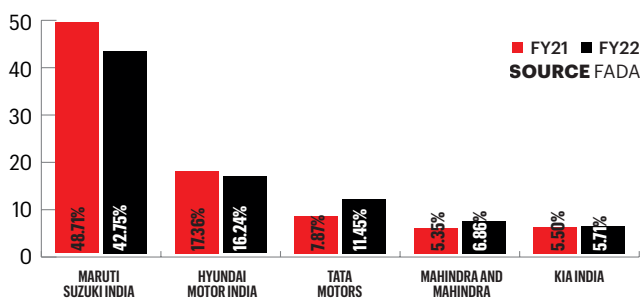


Figures are vehicle sales in units

SOURCE SOCIETY OF INDIAN AUTOMOBILE MANUFACTURERS (SIAM)

LOOK WHO'S NO. 5

Market share of passenger vehicle manufacturers in India



SOURCE FADA

KIA IS NOW PROFITABLE TOO

It has started a third shift at its manufacturing plant

DESCRIPTION	March '18	March '19	March '20	March '21
Gross sales	0	0	10,838.03	20,290.64
Total income	3.34	122.84	10,847.33	20,353.06
Profit after tax	-62.84	-199.36	-329.54	1,111.81

FIGURES IN ₹ CRORE

SOURCE ACE EQUITY

crucial and one of the fastest ramp-ups for a new player. Sohn says the synergistic relationship with Hyundai helps Kia be more cost-effective: "We are a part of HMG and, therefore, it is obvious to have some commonalities at the back-end, but overall we are two separate entities with different strategies, objectives and target audience. The R&D unit of both the companies is the same, which means we are cost-effective when it comes to developing new technologies. However, how we package that technology is distinct in both the companies."

HAD HYUNDAI NOT BEEN around, would Kia still have succeeded as much in India? "It would have been very tough. Hyundai and Kia's product platforms are the same, technologies are the same. Tooling and R&D helps lower the costs. This gave them economies of scale. Even though their brand positioning is different, Hyundai gave them the learning about what products work and what doesn't work," says Gaurav Vangaal, Country Lead for light vehicle production forecasting at IHS Markit.

One of the things that both Hyundai and Kia got right was the market dynamics. Hyundai entered in 1998 with Santro when the mass-market segment was growing, while Kia entered with Seltos when the Indian market was witnessing a surge in SUV sales. Kia has sold a total of 266,867 units of Seltos in the domestic market so far. The SUV accounts for 65 per cent of the company's total vehicle sales in India.

Sohn says the reason for Kia's success is the connectivity features in its cars: "Today's internet-savvy generation has evolved connectivity needs, and they expect seamless connectivity even on the move. We drove the connected car revolution into India with a plethora of innovative, cutting-edge, connected solutions to satisfy our customers' connectivity needs." Kia's cars come loaded with dozens of features including some segment-firsts like Apple CarPlay, wireless charging, sunroof, voice command, hill ascent assist, heads-up display, 360-degree-view parking camera, etc.

The company's latest launch, Carens, has 60 connectivity features. "We're looking at different degrees of autonomous as well, and taking care of the smallest details for the Indian market," says Brar. Another thing that worked for the brand is

GRAPHICS BY RAHUL SHARMA